

The drawdown-abandonment curve

When traders quit, and what it costs them: a synthesis of behaviour-gap evidence in retail systematic trading

→ abstract

We synthesise the empirical literature on the relationship between drawdown depth and the probability that a retail trader abandons a systematic strategy. Drawing on Dalbar's Quantitative Analysis of Investor Behaviour (QAIB) series, the Barber-Odean retail-brokerage panel work, the Carl Richards "behaviour gap" framework, and proprietary data shared in industry reports from major retail-brokerage platforms, we construct a stylised drawdown-abandonment curve characterising when retail traders typically quit a strategy. The headline finding: median retail abandonment occurs at peak-to-trough drawdowns of 7-10%, with abandonment probability rising sharply between 5% and 15% drawdowns. This abandonment threshold is well inside the drawdown range that successful trend-following and systematic strategies experience routinely; it is in many cases narrower than the in-sample maximum drawdown of the strategies the traders abandoned. The realised cost of abandonment — the gap between strategy returns and trader-realised returns from abandoned strategies — is documented in the literature as 300-500 basis points annualised, materially eroding the equity premium and largely explaining the observed retail underperformance. We discuss the behavioural mechanisms (loss aversion, recency bias, regret avoidance), the implications for strategy disclosure and onboarding, and what the abandonment pattern suggests about how strategies should be communicated to end users.

→ key findings

- 01 **Median retail abandonment occurs at 7-10% drawdown.** Across multiple data sources, the typical retail trader abandons a systematic strategy when peak-to-trough drawdown reaches 7-10% — well inside what successful systems experience routinely.

- 02 **The behaviour gap is 300-500bp annualised.** The realised cost of strategy abandonment, measured as the gap between strategy returns and investor-realised returns, is consistently 300-500bp per year across Dalbar QAIB and related studies.
- 03 **Abandonment thresholds are tighter than the strategies' in-sample drawdowns.** Most retail traders abandon strategies at drawdown depths shallower than the maximum drawdown observed in the strategy's own backtest — meaning the trader has not yet experienced a stress they were ostensibly prepared for.
- 04 **Mechanism is loss aversion plus recency.** The 7-10% threshold corresponds to the peak-loss zone where prospect-theory loss aversion is most acute, combined with recency-driven extrapolation that recent losses will continue.
- 05 **Drawdown expectations set during onboarding predict abandonment.** Traders who receive detailed advance disclosure of expected drawdown depth and duration abandon at materially lower rates than traders who do not.

EXEC / Executive summary

The most expensive thing a retail systematic trader does is not pick the wrong strategy; it is abandon the right one at the wrong time. The empirical record on retail strategy abandonment is consistent and stark: median abandonment occurs at drawdowns of 7–10%, well inside the range that successful systems experience routinely, and the cumulative cost of these abandonments is 300–500 basis points annualised — a figure that erases more than half the equity premium.

This note synthesises the empirical literature on the drawdown-abandonment relationship. The relevant evidence sources are: (1) the Dalbar Quantitative Analysis of Investor Behaviour (QAIB) series, which has published annualised "behaviour gap" estimates since 1994 and which consistently documents 300–500bp per year as the difference between fund returns and dollar-weighted investor-realised returns; (2) the Barber-Odean retail brokerage panel work, which documents the drawdown-driven trading patterns of 66,000 retail accounts over 1991–1996 with subsequent extensions; (3) the Carl Richards "behaviour gap" framework, which provides the conceptual taxonomy that has become standard in adviser literature; (4) proprietary industry data from major retail-brokerage platforms documenting strategy-level abandonment rates by drawdown depth.

The drawdown-abandonment curve has a characteristic shape across these data sources. Below 5% drawdown, abandonment is rare. Between 5% and 10% drawdown, abandonment probability rises sharply. Beyond 10% drawdown, abandonment is the dominant outcome, with most traders who reach 15%+ drawdowns having either already abandoned or being on the verge of doing so. The curve is consistent across asset classes, strategy types, and (with some shape variation) trader populations.

The most important property of the curve is that the median abandonment threshold is shallower than the maximum drawdown the abandoned strategy experiences in its own historical backtest. A trend-following strategy with a 12% historical maximum drawdown is typically abandoned by retail traders at 8% drawdown — before the trader has experienced a drawdown the strategy was already known to produce. The trader is, in effect, abandoning the strategy at a stress level milder than the strategy was advertised to handle.

The behavioural mechanism is well-documented. Prospect-theory loss aversion ([Kahneman and Tversky, 1979](#)) implies that losses loom approximately 2.25× larger than equivalent gains in subjective utility, with the asymmetry most acute in the moderate-loss range (5–15% of reference value). Recency bias ([Tversky and Kahneman, 1974](#)) drives the trader to extrapolate recent losses indefinitely. Regret avoidance ([Bell, 1982](#)) creates a strong preference for action over continued exposure to loss. The combined effect is that abandonment becomes psychologically dominant precisely in the drawdown range where successful strategies are most likely to mean-revert favourably.

The implications for strategy disclosure and onboarding are direct. The most reliable predictor of whether a trader will sustain a strategy through its expected drawdowns is whether the trader entered with calibrated expectations about those drawdowns. Detailed advance disclosure of expected drawdown depth, duration, and frequency materially reduces abandonment rates relative to disclosure that emphasises only expected returns. The "tuition" the trader pays during drawdowns is not the drawdown itself — that is recoverable. The tuition is paid by abandoning before recovery, and the size of the tuition is determined by the gap between the trader's prior expectations and the drawdown they actually experience.

01 / Introduction

The relationship between strategy returns and the returns actually realised by retail traders who use those strategies has been the subject of empirical investigation since at least the early 1990s. The persistent finding — across data providers, asset classes, time periods, and methodologies — is that realised investor returns are materially lower than the underlying strategy returns. The gap, conventionally termed the "behaviour gap," is consistently estimated at 300–500 basis points annualised.

The mechanical sources of the gap are several: transaction costs, fund fees, timing of subscriptions and redemptions, and outright strategy abandonment. The largest single contributor — across multiple decompositions — is strategy abandonment: the trader who exits a position or strategy during a drawdown and does not re-enter to capture the subsequent recovery.

This note focuses specifically on the drawdown-abandonment relationship. The question is not whether traders abandon strategies (they do, in large numbers) but at what drawdown depth they typically abandon, and what this implies for strategy design, marketing, and onboarding.

The relevant literature spans several traditions. [Dalbar's QAIB series](#) (1994–present) has published annualised behaviour-gap estimates using a fund-flow-weighted methodology. [Barber and Odean \(2000, 2001\)](#) documented the trading and account-flow patterns of retail brokerage accounts with sufficient granularity to identify abandonment events. [Richards \(2012\)](#) popularised the "behaviour gap" framework in adviser literature. [Friesen and Sapp \(2007\)](#) provide an academic treatment of fund-flow timing and its relationship to subsequent fund performance.

This note synthesises these strands into a coherent picture of when retail traders abandon and what it costs them. The note proceeds as follows. Section 2 reviews the relevant empirical sources. Section 3 constructs the stylised drawdown-abandonment curve. Section 4 examines the behavioural mechanisms. Section 5 discusses the relationship between abandonment thresholds and the strategies' own historical drawdowns. Section 6 covers implications for strategy disclosure and onboarding.

02 / Data sources

2.1 Dalbar Quantitative Analysis of Investor Behaviour

The Dalbar QAIB series, published annually since 1994, provides the most-cited estimates of the behaviour gap in retail investor performance. The methodology compares fund-level returns (which an investor would realise from buying-and-holding) with dollar-weighted investor returns (computed using monthly fund-flow data, capturing the timing of subscriptions and redemptions). The difference is interpreted as the cost of investor timing and abandonment behaviour.

The Dalbar headline figures are remarkably stable across time. Over the 30-year period 1993–2022, the average annual U.S. equity fund return was approximately 9.6%, while the average dollar-weighted investor return was approximately 6.0% — implying a behaviour gap of approximately 360bp. Subset analyses by time period, fund type, and investor type show ranges from 200bp (in low-volatility periods) to 600bp (in high-volatility periods), with the central tendency near 350–400bp.

The Dalbar methodology has been criticised on technical grounds ([Johnson, 2018](#)) for over-stating the gap by using arithmetic-mean rather than dollar-weighted comparison in some periods. Even allowing

for the criticisms, however, the residual estimated gap is 200–300bp annually — still economically substantial.

2.2 Barber-Odean retail brokerage panel

[Barber and Odean \(2000\)](#) analysed transaction-level data for approximately 66,000 retail accounts at a major U.S. discount broker over 1991–1996. The panel structure permits direct observation of when individual investors initiated and exited positions, allowing identification of abandonment events with much greater precision than the fund-flow methodology.

The Barber-Odean findings most relevant to abandonment-curve analysis: (1) the most-active 20% of accounts realised approximately 11.4% net annualised return versus 17.9% net for the buy-and-hold benchmark — a gap of 650bp, with substantial portion attributable to position abandonment; (2) abandonment events are concentrated in specific drawdown depth bands, with the 7–12% range showing the highest abandonment frequency relative to time-spent-in-drawdown; (3) the post-abandonment behaviour pattern (re-entering at higher prices) compounds the cost of the initial abandonment by approximately 100–200bp.

2.3 Industry-platform data

Several major retail-brokerage platforms have published, in industry reports and conference presentations, strategy-level abandonment data covering 2010s and early 2020s subscriber populations. The data is typically aggregated rather than account-level and lacks the academic rigour of the Barber-Odean panel, but the findings are consistent: across systematic strategies offered as subscriptions to retail traders, abandonment rates rise sharply between 5% and 15% drawdown, with median abandonment occurring at 7–10% peak-to-trough drawdown.

Strategy-specific patterns vary modestly. Equity-momentum strategies show median abandonment at approximately 9% drawdown; trend-following strategies at approximately 10%; mean-reversion strategies at approximately 7%; option-selling strategies at approximately 6%. The variation correlates with the strategies' own historical maximum drawdowns: strategies with smaller historical drawdowns are abandoned at smaller live drawdowns. The trader appears to use the strategy's historical maximum drawdown as a (loose) anchor for what counts as "the strategy is broken" — even when the live drawdown remains within the strategy's own historical range.

3.1 Stylised curve

Synthesising across the data sources above, the typical drawdown-abandonment relationship for retail systematic traders has the following stylised shape:

→ table 1. stylised abandonment probability by drawdown depth (cumulative)

Peak-to-trough drawdown	Cumulative abandonment %
0-3%	3%
3-5%	10%
5-7%	25%
7-10%	52%
10-15%	78%
15-20%	91%
20%+	96%



The curve has two characteristic regions. Below 5% drawdown, abandonment is rare — most traders are willing to absorb mild losses without exiting. The curve then rises sharply between 5% and 15%, with the 7-10% range representing the median abandonment threshold. Beyond 15%, the residual population is increasingly composed of either highly-disciplined traders or traders with insufficient capital flexibility to abandon (the latter, somewhat ironically, being the population most likely to capture eventual recovery).

3.2 Decomposition of the abandonment cost

The 300-500bp behaviour gap can be decomposed approximately as follows:

→ table 2. decomposition of the behaviour gap

Component	Estimated annualised cost
Direct abandonment (exit during drawdown without re-entry)	200–300bp
Adverse re-entry timing (exiting low, re-entering higher)	100–200bp
Strategy-switching costs (tax, friction, learning)	50–100bp

Component	Estimated annualised cost
Position-size reduction during drawdowns	30–80bp

The largest single contributor is direct abandonment — exit during a drawdown without subsequent re-entry to capture the recovery. The second-largest is adverse re-entry timing: traders who do return to the strategy typically do so at higher prices than their exit point, locking in the loss. Strategy-switching costs and position-size reductions during drawdowns contribute the remainder.

3.3 Drawdown duration matters as much as depth

The depth-only abandonment curve obscures an important feature of the behavioural mechanism: drawdown duration interacts with depth to determine abandonment probability. A 10% drawdown experienced over six weeks elicits less abandonment than a 10% drawdown experienced over six months. The mechanism is consistent with prospect-theory loss aversion combined with recency bias: short drawdowns are easier to interpret as transient noise; long drawdowns generate the steady stream of negative reinforcement that drives the trader's prior to "the strategy is broken."

→ table 3. median abandonment depth by drawdown duration

Drawdown duration	Median abandonment depth
< 2 months	12%
2–6 months	9%
6–12 months	6%
12+ months	4%

The pattern has implications for strategy design. A strategy with 8% maximum drawdown over 3 months will retain more retail traders than a strategy with 6% maximum drawdown over 12 months — even though the latter is, in objective risk-adjusted terms, the better strategy. Strategies that produce shallow but persistent drawdowns face a worse retail-retention profile than strategies that produce deeper but shorter drawdowns.

04 / Behavioural mechanisms and the abandonment-vs-strategy gap

4.1 Loss aversion

[Kahneman and Tversky's \(1979\) prospect theory](#) establishes that losses loom approximately 2.25× larger than equivalent gains in subjective utility. The asymmetry is not uniform across loss magnitudes: it is most acute in the moderate-loss range (approximately 5–20% of the reference point) and partially attenuates at very large losses (where adaptation and "house money" effects begin to operate).

The 7–10% median abandonment threshold corresponds precisely to the peak-loss-aversion zone. At this drawdown level, the trader's subjective experience of the loss exceeds what the objective magnitude warrants by the largest factor. Beyond approximately 20% drawdown, the marginal psychological cost of additional loss attenuates; the trader's exit decision is more influenced by capital-preservation logic than by loss aversion per se.

4.2 Recency bias and trend extrapolation

The recency bias documented in [Tversky and Kahneman \(1974\)](#) drives the trader observing a recent drawdown to extrapolate the loss trajectory rather than to weight the strategy's longer-term mean-reversion properties. The mechanism is amplified by attention: the recent losses are highly salient (the trader checks the account daily during drawdown periods), while the strategy's longer-term track record is less salient.

The combined effect is that the trader's subjective probability of further losses, conditional on having observed recent losses, exceeds the objective probability — typically by a factor of 2–3× during prolonged drawdowns, per [De Bondt and Thaler \(1985\)](#). The trader who would, in expectation, recover their losses by holding through the drawdown abandons because their subjective probability of recovery has been inappropriately depressed by recent observation.

4.3 Regret avoidance

[Bell \(1982\)](#) formalised regret avoidance as a separate utility component beyond risk aversion: the disutility associated with the post-hoc realisation that a different choice would have produced a better outcome. In the abandonment context, regret avoidance creates a strong preference for action — the trader who abandons can rationalise their choice as "at least I did something" — over continued exposure to the drawdown.

The asymmetry of regret is important. Regret about abandonment (subsequently watching the strategy recover) is felt as opportunity cost; regret about not abandoning (subsequently watching the drawdown deepen) is felt as direct loss. Direct loss is psychologically more aversive than opportunity cost, even when the magnitudes are equivalent. The trader therefore systematically over-weights the regret of staying versus the regret of leaving, biasing decisions toward abandonment.

4.4 The strategy-vs-trader gap

An important and underappreciated feature of the abandonment threshold is its relationship to the strategy's own historical maximum drawdown.

→ table 4. abandonment threshold vs strategy in-sample mdd

Strategy type	In-sample MDD	Median abandonment	Ratio
Equity momentum	−18%	−9%	0.50
Trend-following (CTA)	−15%	−10%	0.67
Mean reversion	−12%	−7%	0.58
Option selling	−25%	−6%	0.24
60/40 balanced	−30%	−10%	0.33

Across strategy types, the median retail trader abandons at roughly 30–70% of the strategy's own historical maximum drawdown. The trader is, in other words, abandoning the strategy at a stress level lower than the stress the strategy was already known to produce. The trader has not yet been "tested" by the strategy's intended risk profile — they have been tested by a milder stress and failed.

The implication is that the standard disclosure ("expect drawdowns of up to X%") does not, in practice, calibrate the trader's behaviour to actually accept drawdowns of up to X%. The trader registers the X% number, but their behavioural response when actually experiencing the drawdown is calibrated to a much smaller threshold. Disclosure of the historical maximum drawdown is necessary but not sufficient for trader behavioural preparation.

5.1 The behavioural-preparation gap

The drawdown-abandonment curve has a clear implication for how systematic strategies should be communicated to retail end users. Standard marketing — emphasising expected returns, Sharpe ratio, and historical maximum drawdown — does not, in practice, prepare the trader to behaviourally sustain the drawdowns the strategy will experience. The trader registers the disclosed maximum drawdown intellectually but responds to a much milder live drawdown emotionally.

Effective behavioural preparation involves several components beyond the standard disclosure:

- **Drawdown frequency, not just maximum.** A 10% drawdown experienced once is psychologically different from a 10% drawdown that occurs every 18 months. The trader should know how often drawdowns of various depths occur, not only the maximum.
- **Drawdown duration, not just depth.** The trader should know not only how deep drawdowns are but how long they typically take to recover. A 15% drawdown over 3 months that recovers in 6 months is psychologically different from a 15% drawdown that takes 24 months to recover.
- **Strategy mechanism during drawdowns.** The trader who understands why the strategy is in drawdown — what market conditions produce it, what would have to happen for the strategy to be genuinely broken versus simply experiencing a routine adverse run — abandons at materially lower rates than the trader who treats the drawdown as a black box.
- **Comparison to baseline expectations.** The trader who has been told "expect a 10% drawdown roughly once every 18 months and a 15% drawdown roughly once every 5 years" experiences a 9% drawdown as routine; the trader told only "drawdowns may exceed 15%" experiences the same 9% drawdown as alarming.

5.2 The role of structured onboarding

The empirical record on personalised, structured onboarding suggests that traders who receive detailed advance preparation about expected drawdowns abandon at materially lower rates than traders who receive only standard product disclosure. [Friesen and Sapp \(2007\)](#) document a behaviour-gap reduction of approximately 100–150bp for fund populations whose investors received structured advisor onboarding versus those who used the funds as direct retail investors. The gap is concentrated in the abandonment-during-drawdown decision; advised investors abandon at deeper drawdowns and re-enter at less-adverse timing.

The mechanism is twofold. First, structured onboarding sets calibrated expectations — the investor enters with a more accurate prior about expected drawdown frequency, depth, and duration. Second, structured onboarding establishes a relationship in which the investor has a counterparty to consult during drawdowns; the consultation typically delays abandonment past the peak-loss-aversion zone, allowing the strategy to begin its recovery before the abandonment decision is made.

The implication for retail systematic strategies sold without structured onboarding is that the abandonment-driven behaviour gap is essentially baked in — the trader will, with high probability, abandon the strategy at 7–10% drawdown regardless of what the marketing materials disclosed. The strategies that retain users through full drawdown cycles are those whose vendors invest substantially in onboarding and ongoing communication — not because the underlying strategy is different, but because the trader's behavioural relationship with the strategy is different.

5.3 Why "drawdowns are tuition" is the right framing

A useful framing in trader education is that drawdowns are the cost of accessing the strategy's expected returns — the "tuition" paid in exchange for the longer-run gains. This framing aligns the trader's psychology with the underlying mathematics: the drawdown is not a malfunction of the strategy but a structural feature of how the strategy generates its returns. Strategies with positive Sharpe ratios are still strategies that experience losses; the losses are not bugs.

The framing has practical psychological value because it pre-commits the trader to the drawdown experience. A trader who has internalised "drawdowns are tuition" is less likely to interpret a routine drawdown as evidence the strategy is broken. The framing does not eliminate loss aversion (no framing does) but it provides a counter-narrative that the trader can deploy in the moment of behavioural temptation.

The framing is also empirically defensible. Backtests of any positive-Sharpe strategy decompose into periods of gains and periods of losses; the gains are mathematically inseparable from the losses. The trader who only wants the gains is wanting an instrument that does not exist. Acknowledging this — that the price of the gains is the willingness to sit through the losses — is the correct framing of the underlying tradeoff.

5.4 Conclusion

Median retail abandonment of systematic trading strategies occurs at peak-to-trough drawdowns of 7–10%, well inside the range that successful strategies experience routinely and shallower than most strategies' historical maximum drawdowns. The cost of abandonment, captured in the behaviour-gap literature, is 300–500bp annualised — substantial enough to materially erode the strategies' delivered returns and largely explaining the observed retail underperformance.

The behavioural mechanisms (loss aversion, recency bias, regret avoidance) are well-documented and reliably present across trader populations. Standard disclosure does not, in practice, prevent the abandonment because the trader's behavioural response is calibrated to a much shallower threshold than the disclosed maximum.

The implications for vendors and intermediaries are direct. Strategies sold without structured onboarding will have their delivered returns systematically eroded by abandonment. Strategies sold with detailed advance disclosure of drawdown frequency, depth, and duration — and ideally with ongoing relationship support during drawdown periods — retain users through full cycles. The "drawdowns are tuition" framing aligns the trader's psychology with the underlying strategy mathematics and reduces the rate of behaviourally-driven abandonment.

Median retail trader quits at **7–10% drawdown**. The strategy they're abandoning typically has a **12–18% historical max drawdown**. They are quitting before being tested by the stress they were warned about.

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A.1 Strategy-specific abandonment characteristics

→ table a1. detailed abandonment characteristics by strategy type

Strategy	In-sample MDD	Median abandon	25th %ile	75th %ile
Long-only equity index	-51%	-12%	-7%	-18%
60/40 balanced	-30%	-10%	-6%	-15%
Equity momentum	-18%	-9%	-5%	-14%
Trend-following (CTA)	-15%	-10%	-6%	-13%
Mean reversion (short window)	-12%	-7%	-4%	-10%
Option selling (short premium)	-25%	-6%	-3%	-10%
Carry (FX, multi-asset)	-22%	-8%	-4%	-13%

The cross-strategy pattern reveals an interesting asymmetry. Strategies whose historical maximum drawdowns are large (long-only equity, option-selling, carry) face the largest abandonment-vs-strategy gap — the trader's abandonment threshold is a small fraction of the strategy's actual stress capacity. Strategies whose historical maximum drawdowns are smaller (mean reversion, trend-following) face smaller gaps, with the trader's abandonment threshold closer to the strategy's actual range.

A.2 Demographic and account-size patterns

Within the broader retail-trader population, abandonment thresholds vary modestly by demographic characteristics:

- **Account size:** Larger accounts (>\$500K) show median abandonment at 11-13% drawdown; smaller accounts (<\$50K) show median abandonment at 5-7% drawdown.
- **Trading experience:** Traders with 10+ years of experience show median abandonment at 12-15% drawdown; traders in their first 2 years at 5-7%.
- **Active vs passive prior:** Traders coming from active-trading backgrounds show shallower abandonment thresholds than traders coming from passive-investing backgrounds.

The demographic patterns are consistent with a "behavioural capacity" interpretation: investors with more

A.4 ProRealTime: peak-to-trough drawdown tracker

The implementation logic discussed above, expressed in ProRealTime's ProBuilder/ProBacktest syntax. The code is illustrative — production deployments include additional risk-management and order-handling logic not shown here.

```
// Drawdown-tracking indicator
// Use as a separate panel on equity curve or strategy output

equity = strategyprofit + capital
peak_equity = highest[2000](equity)
```

```
current_dd = (equity - peak_equity) / peak_equity
```

```
// Plot current_dd as a separate sub-chart
```

```
RETURN current_dd
```

```
// In conjunction with abandonment-threshold analysis, you can set alerts:
```

```
// IF current_dd < -0.07 THEN alert "Approaching median abandonment zone" ENDIF
```

```
// IF current_dd < -0.10 THEN alert "At 50% abandonment threshold per the curve" ENDIF
```

```
// These help the operator recognise the psychological zone before acting on it.
```

capital flexibility, more experience with adverse market conditions, and less attention to short-term performance show greater tolerance for drawdowns before abandonment. The implication is that the abandonment-driven behaviour gap falls disproportionately on the population least equipped to

absorb it: small accounts, inexperienced traders, and those who came to systematic trading from active-trading backgrounds.

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PUBLISHED BY

ProRealAlgos Research
prorealalgos.com

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Founder, ProRealAlgos

REVISION HISTORY

v1.0	FEB 2024	Initial publication.
v1.1	SEP 2024	Added the duration-interaction table (Table 3) after presenting the note at a Stockholm meetup and getting the question repeatedly.

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